

July 23, 2026 04:28 AM GMT

Microsoft | North America

4Q26 Preview – Time to Take Back the Narrative

Low-40s Azure growth, accelerating Copilot monetization and disciplined opex should reinforce MSFT’s durable high-teens total return profile. A 1-pt Azure beat, 6MM+ Copilot seat adds and reiterated 1H27 Azure acceleration could drive upside, while 16x FY28 EPS leaves risk/reward highly attractive.

Key Takeaways

- Confident in 41% cc Azure growth in Q4, supported by strong channel checks, improving GPU capacity and positive CIO survey data
 - A 1pt beat to Q4 Azure growth guide & a reiterated F1H27 Azure acceleration with 6MM+ copilot seat net adds key to MSFT shares
 - Checks support growing M365 Copilot momentum on top of 20MM paid seats, w/ improving usage and further adoption across the base
 - Consensus capex estimates could move higher; we see less upside to our higher-than-street capex estimates. Capex growth moderation important for ROIC & shares.
- At ~16x FY28 GAAP EPS, we believe MSFT shares fail to reflect durable high-teens total return profile, underscoring the attractive risk/reward

Microsoft Investment Thesis: As we recently detailed ([Microsoft: Battle of the AI Stack: Infrastructure to Knowledge Workers – Azure and Copilot Are Set to Inflect \(21 Jul 2026\)](#)), Azure and Copilot are key to the stock and both appear set to inflect. Timing (near-term) and degree of inflection are not well reflected by the market, in our view. Azure sentiment will improve as incremental near/medium-term supply serves robust demand, driving higher than expected Azure growth for longer. M365 Copilot-driven ARPU contribution is now a three-pronged story: Copilot seats, E7 SKU and consumption pricing, creating one of the largest ARPU expansion opportunities in MSFT history. Capex yields sustainable high-teens revenue growth; operating leverage from scale + opex discipline enables Op margin expansion despite GM pressure. We see 16x FY28 GAAP EPS as too cheap for >20% earnings growth. Conservatively applying 1.2x PEG / 25x PE, a discount to peers, yields 50% upside to \$600 PT. **We think FQ4 can serve as a first catalyst, helping build support across our Azure, Copilot and margin thesis:**

Azure & Copilot Momentum Key in FQ4. Last quarter’s results were strong, with Microsoft exceeding consensus across all three segments and delivering ~1% total revenue upside, driven by Azure growth of 39% cc (ahead of high-end of guidance at ~38% cc). Importantly, the company paired this top-line strength with gross margin outperformance (despite mix shift to Azure) and ~160 bps of YoY operating margin expansion. Forward indicators also remained robust, with RPO (+110% YoY to ~

MORGAN STANLEY & CO. LLC

Adam Wood

Equity Analyst

Adam.Wood@morganstanley.com

+1 212 761-3656

Josh Baer, CFA

Equity Analyst

Josh.Baer@morganstanley.com

+1 212 761-4223

Jonathan Eisenson

Research Associate

Jonathan.Eisenson@morganstanley.com

+1 212 761-2808

Microsoft (MSFT.O, MSFT US)

Software | United States of America

Stock Rating	Overweight			
Industry View	Attractive			
Price target	\$600.00			
Shr price, close (Jul 21, 2026)	\$397.75			
Mkt cap, curr (mm)	\$2,961,249			
52-Week Range	\$555.45-349.20			
Fiscal Year Ending	06/25	06/26e	06/27e	06/28e
EPS (\$)**	13.64	17.35	19.62	23.86
Prior EPS (\$)**	-	-	-	-
P/E	36.5	21.5	20.3	16.7
EPS (\$)	-	16.80	19.41	22.80
Div yld (%)	0.7	1.0	1.0	1.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	3.30	-	3.72a	-	4.71
Q2	3.23	-	5.16a	-	4.86
Q3	3.46	-	4.27a	-	4.92
Q4	3.65	-	4.21	-	5.13

e = Morgan Stanley Research estimates, a = Actual Company reported data

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

\$625bn) and cRPO (+39% YoY) reinforcing durable commercial demand. **For Q4: Azure growth of ~41% in cc in Q4 with a reiterated F1H27 Azure guidance calling for modest acceleration** is likely good enough to get over the investor hurdle given capacity and allocation constraints. Further, the potential for high-single digit / low double-digit opex growth in Q4 and mid/high single-digit opex growth in FY27 should help offset gross margin compression and could help deliver high-teens operating income growth in FY27.

Partner Channel Discussions Continue to Reinforce Broad-Based Microsoft Strength. Channel partners sounded positive on C2Q Azure results and the forward outlook. Our latest partner conversations continue to point to durable demand across Microsoft's commercial portfolio, with Azure, Microsoft 365, Security and broader AI workloads remaining the primary growth drivers. Partners generally described another constructive quarter for Microsoft, supported by continued cloud migrations, expanding Azure AI deployments, healthy E3/E5 upgrade activity and robust security demand driven by bundling within the Microsoft ecosystem. Several partners also highlighted improving momentum across Dynamics, GitHub and Fabric, reinforcing the breadth of Microsoft's commercial growth profile. While Azure demand remained healthy, we picked up signs from one partner of potential capacity constraints limiting the pace at which certain customer workloads could be deployed, consistent with management's commentary that Azure growth remains constrained by available capacity rather than demand. At the application layer, partners continue to characterize Copilot adoption as progressing gradually, with awareness continuing to outpace enterprise-wide deployment, though adoption is still improving. That said, partners remain constructive on the long-term opportunity given continued Microsoft 365 upgrades, increasing interest in the new E7 offering, ongoing security attach and continued product innovation across the broader Agentic AI portfolio, including Agent365.

4 Areas We Are Monitoring Into the Print:

1) Proving Out the Durability of Azure Growth

MS View: Our confidence in low-40%'s CC Azure growth in F4Q26 reflects Microsoft's continued leadership, reflected in our MS CIO survey work, as well as in constructive partner commentary pointing to durable cloud and AI demand, and incremental AI capacity coming online as datacenter build-outs continue to improve. The 41% cc investor bogey is achievable, and this 1pt beat vs. high-end of guidance would represent a strong outcome for MSFT shares, especially given prior guidance for further modest acceleration in the first half of C2H26 vs. 1H, implying 42%+ cc growth in the following two quarters. **We expect Azure growth to remain well supported into FY27 as Microsoft executes against its plan to roughly double its total datacenter footprint over the next two years.** We believe this expanding infrastructure footprint should continue easing capacity constraints, allowing Azure to capture robust AI and cloud demand while providing further evidence that Microsoft's significant AI infrastructure investments are translating into durable revenue growth.

Buyside: For 4QFY26, investors are looking for 41%+ growth in constant currency (cc), representing a 1% beat vs. high-end of guidance at 39-40% cc, which is also impacted by a 4% tougher growth comp from last year. Further, expecting management to reiterate prior guidance (*from the F3Q26 call*) for 'modest acceleration in the second half of the calendar year compared with the first half,' meaning Azure growth of 42%+ in cc in F1H27.

Microsoft Continues to Screen as the Clearest Enterprise AI Winner. Our latest 2Q26 CIO Survey (see [Microsoft: 2Q26 CIO Survey Takeaways – GenAI Leadership Position Remains Clear \(16 Jul 2026\)](#)) continues to reinforce Microsoft's leadership across both cloud and GenAI despite a relatively stable enterprise IT spending backdrop. While CIOs expect software spending to accelerate modestly to +4.1% in 2026 from +3.8% in 2025, Microsoft remains the primary beneficiary of that incremental spend, with the highest forward software spending expectations across vendors at +7.6%, improving from +7.3% in our prior survey. Microsoft also continues to lead on a net spending basis, with 72% of CIOs expecting to increase spending on Microsoft solutions over the next year. At the same time, **Microsoft's leadership extends well beyond core software spending into enterprise AI adoption.** **First**, Azure remains the primary beneficiary of ongoing cloud migration, screening as the largest expected cloud share gainer over both the next year and the next three years, while Azure spending intentions continued to improve. **Second**, beyond cloud infrastructure, CIOs again identified Microsoft as the largest expected beneficiary of incremental GenAI spending, while also ranking the company as the preferred platform for both Agentic Automation initiatives and building custom AI applications. **Third**, at the application layer, Microsoft 365 Copilot remains the flagship AI workload within Microsoft's portfolio, with adoption expectations continuing to improve alongside increasing planned deployment across enterprise M365 users.

Consensus Azure growth expectations call for 40.5% YoY growth (as reported; per guidance given no meaningful FX impact), which implies ~\$3.3bn in QoQ dollars added or ~41% YoY growth in QoQ dollars added. **In terms of the expected beat factor for Azure revenue growth**, similar to last quarter, we expect expectations calling for ~1pt above the high-end of the CC guidance (39-40% cc guide) this quarter. A few items to keep in mind: **1) Similar to prior quarters, surplus demand signals do not determine realized Azure growth**, as management has consistently reiterated that Azure revenue remains constrained by available capacity rather than customer demand. As CFO Amy Hood emphasized on the F3Q26 earnings call, Azure guidance should be viewed as an '*allocated capacity guide*,' with the key variables being the timing of datacenter buildouts, GPU deployments, and when newly installed capacity becomes revenue additive. While Azure demand remains robust across both core Azure and Azure AI workloads, reported growth continues to be governed by the pace of incremental infrastructure deployments/monetization. **2) Available capacity must be allocated not only to external Azure customers, but also to Microsoft's rapidly expanding portfolio of first-party AI offerings.** As analyzed in our recent Microsoft deep dive (see [Microsoft: Battle of the AI Stack: Infrastructure to Knowledge Workers – Azure and Copilot Are Set to Inflect \(21 Jul 2026\)](#)), incremental AI infrastructure (or new capacity coming online) must be balanced across Azure, 1P applications, internal R&D / training, with

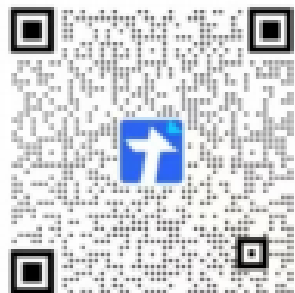
调研纪要

微信扫码加入星球

知识星球

星球福利

微信扫码
联系客服加入

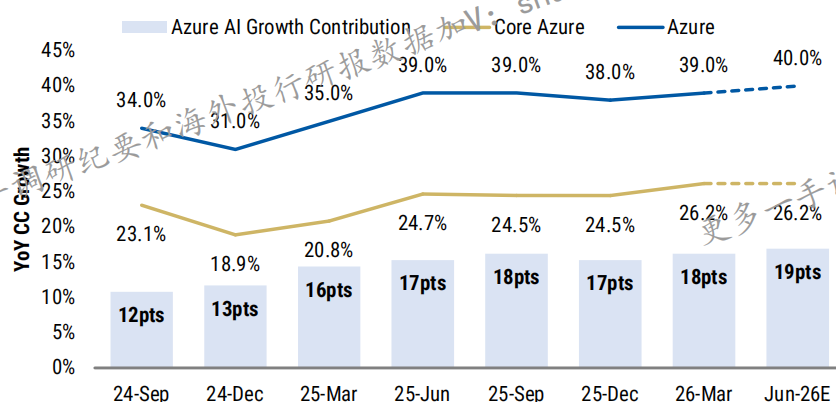


management consistently prioritizing the highest-return opportunities across the Microsoft platform. With that said, Azure growth represents just one output of Microsoft's broader AI infrastructure allocation strategy, though we expect Azure AI to receive an increasing share of incremental capacity as it comes online, reflecting its role as the primary infrastructure layer through which Microsoft monetizes AI demand across both Azure and its first-party AI applications (see [Exhibit 9](#)). **3)**

While Azure AI continues to represent the primary driver of Azure growth, the focus is increasingly shifting to how efficiently Microsoft's expanding AI infrastructure is converted into revenue as capacity constraints gradually ease.

As Microsoft executes against its plan to ~2x its datacenter footprint over the next two years, we expect increasing infrastructure yield to support durable Azure growth into FY27 and beyond, though the capacity-driven guidance may continue to limit the magnitude of quarterly upside surprises. **In terms of Azure AI in F4Q26**, we expect ~100% YoY growth or ~18% QoQ growth vs. an estimated 17% in F3Q26 and 20% QoQ in F4Q25. This implies ~\$1,260MM QoQ dollars added (vs ~\$1,000MM in F3Q) and ~19pts of contribution from Azure AI growth in F4-Q (see [Exhibit 1](#)), slightly ahead of the estimated contribution in the prior two quarters.

Exhibit 1: Improving Azure AI Demand/Capacity and Relatively Stable Core Azure Growth Should Support Low 40s % Azure Growth in F4Q



Source: Company data, Morgan Stanley Research

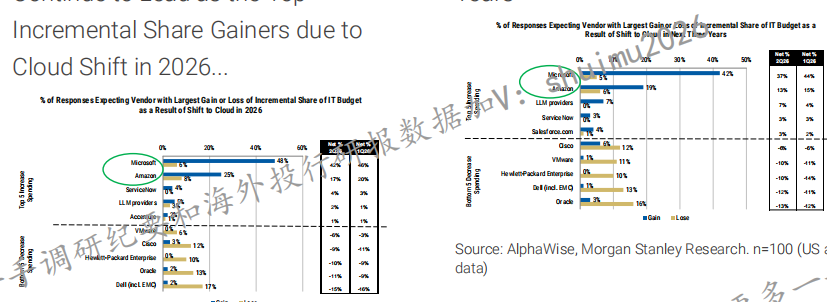
As you shift workloads from on-premise to the cloud, which of these vendors do you expect to gain/lose the largest incremental percentage of your IT budget in the next year? (Overall)

This line chart tracks the expected percentage change in IT budget for four vendors from 2017 to 2026. The y-axis ranges from -10% to 60% in 10% increments. The x-axis shows years from 1017 to 1026. Microsoft (purple) shows the highest growth, peaking at 46% in 2025. Amazon (yellow) shows steady growth, reaching 17% in 2026. Google (green) and LLM Providers (red) show minimal changes, mostly staying near 0% or slightly negative.

Year	Amazon	Microsoft	Google	LLM Providers
1017	12%	20%	0%	0%
1018	23%	17%	4%	4%
1019	23%	17%	4%	4%
1020	29%	15%	3%	3%
1021	28%	14%	3%	3%
1022	29%	15%	4%	4%
1023	27%	13%	2%	2%
1024	26%	12%	1%	1%
1025	25%	11%	0%	0%
1026	24%	10%	-1%	-1%

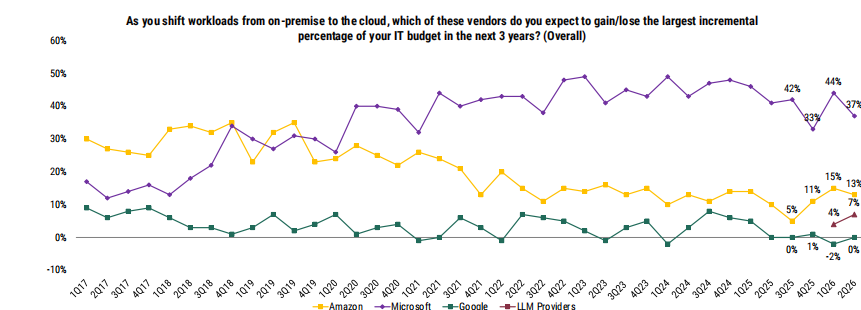
Exhibit 3: Microsoft and Amazon Continue to Lead as the Top Incremental Share Gainers due to Cloud Shift in 2026...

Exhibit 4: ... And in the Next Three Years



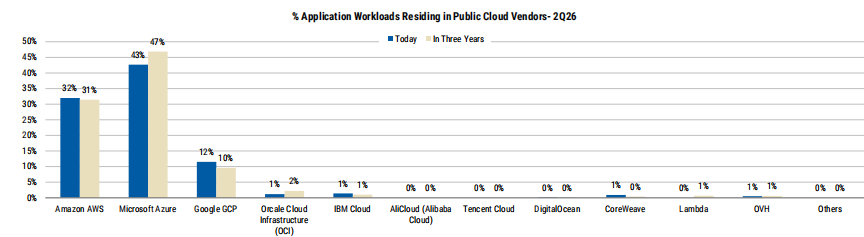
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 5: ...while on a Medium-Term View, MSFT's Lead Over Other Vendors Remains Sizeable, Yet Results Point to Budget Share Loss to LLM Providers



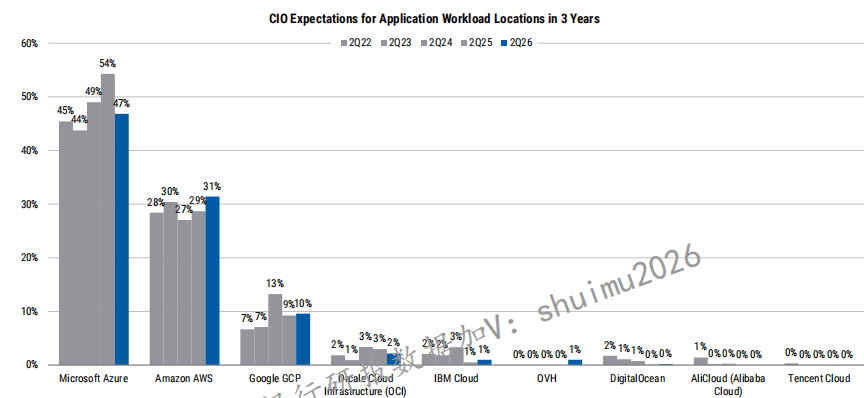
Source: AlphaWise, Morgan Stanley Research, n=100 (US and EU data)

Exhibit 6: Azure and AWS Remain the Dominant Public Cloud Providers Today...



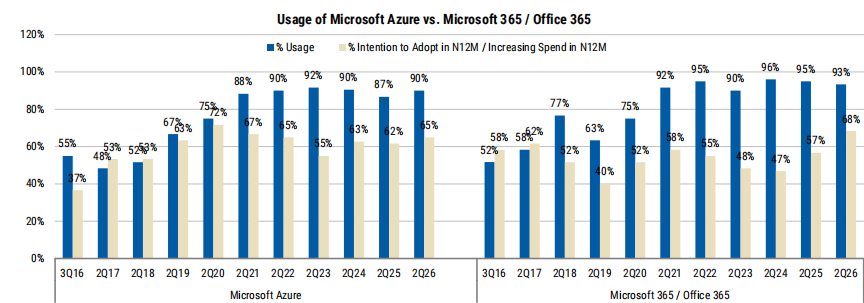
Source: AlphaWise, Morgan Stanley Research. N= 60 (US and EU Data)

Exhibit 7: ... With Azure Expected to Remain Leading Share Gainer Over Next Three Years



Source: AlphaWise, Morgan Stanley Research. N= 60 (US and EU Data)

Exhibit 8: CIOs Indicate Usage and Spending Intentions on Microsoft Azure and Microsoft 365 / Office 365 Continue to Remain Durable



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

Exhibit 9: Installed Data Center Capacity Mix Analysis – Implied Azure AI Rev/ MW May Prove Too Low Longer-Term

	FY23	FY24	FY25	FY26E	FY27E	FY28E
Microsoft Cloud Revenue (\$mn)	\$111,600	\$137,700	\$168,900	\$214,061	\$273,874	\$356,770
Total GWs (Installed Capacity)	4.50	5.00	7.50	10.25	14.50	20.25
Compute Allocation (Capacity Mix %)						
Total Azure	42%	48%	57%	63%	69%	74%
Core Azure	40%	37%	35%	33%	32%	31%
Azure AI	2%	11%	22%	30%	37%	43%
1st-Party Applications	55%	49%	39%	32%	26%	21%
M365 Copilot	0%	1%	2%	2%	3%	4%
Internal R&D / Training	3%	3%	4%	5%	5%	5%
Capacity Per Bucket (GWs)						
Total Azure	1.89	2.40	4.28	6.46	10.01	14.99
Core Azure	1.80	1.85	2.63	3.38	4.64	6.28
Azure AI	0.09	0.55	1.65	3.08	5.37	8.71
1st-Party Applications	2.48	2.45	2.93	3.28	3.77	4.25
M365 Copilot	-	0.04	0.12	0.23	0.44	0.74
Internal R&D / Training	0.14	0.15	0.30	0.51	0.73	1.01
Revenue Assumptions (\$mn)						
Total Azure	\$42,085	\$56,140	\$75,428	\$105,605	\$150,299	\$214,928
Core Azure	\$41,961	\$52,268	\$63,331	\$79,936	\$100,004	\$122,236
Azure AI	\$124	\$3,872	\$12,097	\$25,669	\$50,295	\$92,692
1st-Party Applications	\$61,015	\$72,243	\$83,505	\$97,339	\$111,122	\$128,021
M365 Copilot	-	\$794	\$2,227	\$4,431	\$8,648	\$14,886
Revenue Per MW (\$mn)						
Total Azure	\$22.27	\$23.39	\$17.64	\$16.35	\$15.02	\$14.34
Core Azure	\$23.31	\$28.25	\$24.13	\$23.63	\$21.55	\$19.47
Azure AI	\$1.38	\$7.04	\$7.33	\$8.35	\$9.37	\$10.65
1st-Party Applications	\$24.65	\$29.49	\$28.55	\$29.68	\$29.48	\$30.10
M365 Copilot	-	\$18.68	\$19.16	\$19.21	\$19.88	\$20.14

Source: Morgan Stanley Research, Company Data *Assuming Datacenter Capacity for Microsoft Represents Installed Capacity II
Microsoft Cloud Revenue = M365 Commercial Cloud + Dynamics 365 + Commercial LinkedIn + Azure and Other Cloud Services

2) Microsoft 365 & Copilot: The Next Phase of AI Monetization

MS View: Multiple Monetization Levers Support Durable Commercial Cloud

Growth. We continue to view M365 Commercial Cloud as one of Microsoft's most underappreciated AI monetization opportunities, though increasingly believe the focus should go beyond Copilot seat adoption toward the broader evolution of Microsoft's AI business model. As discussed in our recent Microsoft Assumption report (see [Microsoft: Battle of the AI Stack: Infrastructure to Knowledge Workers – Azure and Copilot Are Set to Inflect \(21 Jul 2026\)](#)), Microsoft is transitioning from a traditional SaaS licensing model toward more of a hybrid seat + consumption framework across the application layer. While M365 Copilot seats remain the primary monetization vector today, management has increasingly emphasized broader AI monetization, noting on the F3Q26 earnings call that 'we are seeing a new pattern emerge as customers shift from traditional seat model to seats plus consumption.' GitHub Copilot, Copilot Credits, Dynamics AI agents and broader AI services represent the earliest examples of this evolution. We believe this evolution expands the company's monetization opportunity well-beyond traditional seat-based ARPU growth, allowing AI revenue to scale alongside customer usage while creating multiple independent drivers for M365 Commercial Cloud growth. As these monetization levers (i.e., Copilot seats, E5/E7 upgrades, commercial pricing, and consumption-based components) continue to scale in parallel, we expect M365

Commercial Cloud growth to become increasingly durable throughout FY27 and beyond, supported by a more diversified and resilient ARPU expansion framework.

The Next Phase of Copilot Monetization. We believe the key debate surrounding Copilot is increasingly shifting from proving enterprise adoption toward understanding the long-term monetization opportunity. Over the past year, Microsoft's primary objective was demonstrating product-market fit and driving enterprise deployments. Today, however, the conversation is increasingly shifting toward monetization, adoption velocity and the broader Commercial Cloud opportunity. Importantly, Microsoft's new paid M365 Copilot seat disclosure provides a much more tangible KPI for measuring commercial traction over time. Following the increase to 20MM paid seats in F3Q26 (up from 15MM in F2Q26), we expect paid seat growth to remain one of the key indicators of enterprise adoption and ARPU expansion going forward, with management guiding *'net paid [M365 Copilot] seat adds to increase sequentially,'* reinforcing our expectation for continued acceleration in Copilot monetization into FY27. While seats represent only one component of the broader monetization opportunity, they provide the foundation for higher-value E7 adoption and expanding consumption-based AI monetization over time, consistent with our expectation for robust paid seat expansion over the coming years. **As such, we continue to believe Copilot-driven ARPU is evolving into a three-headed growth driver** consisting of (1) direct Copilot seat adoption, (2) migration toward higher-value M365 E7 subscriptions, and (3) expanding consumption-based AI monetization tied to agents, orchestration and workflow automation. **Together with continued product innovation across Copilot, GitHub, Agent365 and workflow automation, we believe these monetization vectors support improving M365 Commercial Cloud growth while making that growth increasingly diversified, ARPU-driven and durable over the long run.**

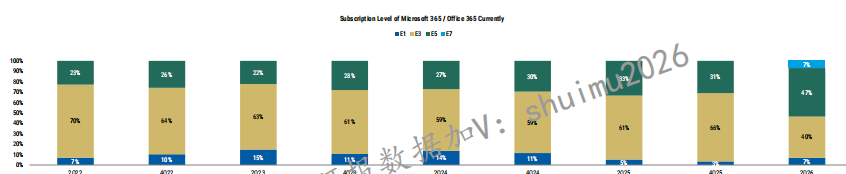
M365 Pricing Increase Represents Another Incremental ARPU Tailwind. Beyond improving Copilot adoption, Microsoft's [commercial M365 price increases](#) became effective July 1, 2026, introducing higher pricing across several core SKUs alongside new AI, security and endpoint-management capabilities. As outlined in our initial analysis (see [M365 Price Increases – What Is the Tailwind to Growth?](#)), we continue to estimate the pricing changes will contribute approximately \$2bn / \$4bn / \$6bn of incremental M365 revenue across FY27/FY28/FY29, though this is already factored into the stock and estimates. Importantly, while the pricing became effective July 1 for new customers, the existing installed base will not realize the higher pricing until contract renewal, implying the benefit should phase in gradually over roughly three years. Using our bottom-up seat mix assumptions, we see ~\$12 in ARPU uplift once fully reflected across the installed base, translating to an approximate +\$4 / +\$8 / +\$12 ARPU benefit across FY27/FY28/FY29. With the initial pricing increase now behind us, we expect this pricing tailwind to begin flowing into reported results throughout FY27, providing an incremental driver of M365 Commercial Cloud ARPU expansion alongside continued E5/E7 mix shift, Copilot adoption, and expanding AI consumption.

Our CIO Survey Continues to Reinforce Broadening Commercial Cloud Monetization. Our latest 2Q26 CIO Survey continues to reinforce improving Commercial Cloud monetization across multiple growth drivers. **First**, Microsoft

365 spending intentions improved meaningfully, with 65% of CIOs expecting to increase spending over the next 12 months, up from 55% in our prior survey. **Second**, premium SKU adoption remains healthy, with 71% of organizations expected to leverage E5 or E7 over the next year, supporting continued ARPU expansion beyond traditional seat growth. **Third**, M365 Copilot remains Microsoft's flagship AI application, with 88% of CIOs expecting to leverage the product over the next 12 months while planned deployment continues to move higher. Beyond M365 Copilot, adoption expectations also improved across GitHub Copilot, Azure AI Services, Copilot Studio and Azure AI Foundry, reinforcing our view that Microsoft's AI monetization opportunity increasingly extends beyond a single application into a broader enterprise AI platform.

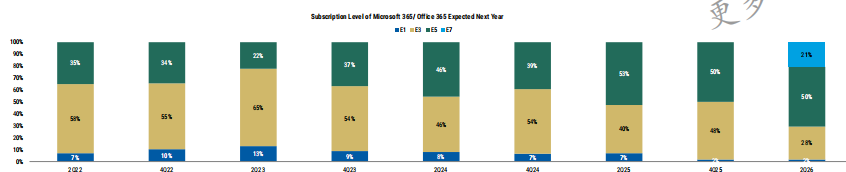
If you are currently using Microsoft 365 / Office 365, what subscription level (E1, E3, E5 or E7) are the majority of your employees using today? Do you have any plans to upgrade in the next year?

Exhibit 10: The Shift to Higher Subscription Levels Continues with 47% / 7% of CIOs Using E5 / E7 Licenses Currently...



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

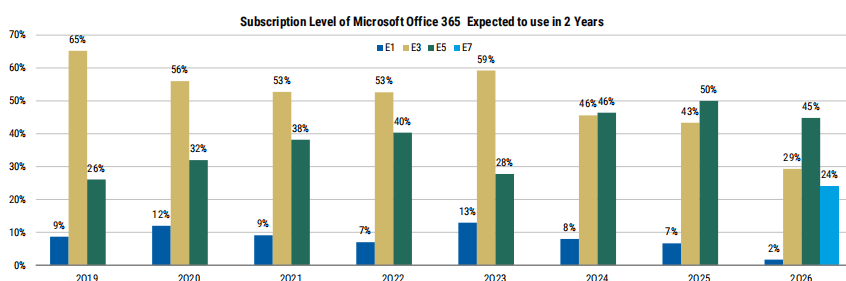
Exhibit 11: With Expectations for E5 / E7 License Subscriptions Reaching 50% / 31% in the Next Year, Further Supporting Better Copilot Adoption Over N12M



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

Which Microsoft 365 / Office 365 subscription level (E1, E3, E5, or E7) do you expect to use in 2 years?

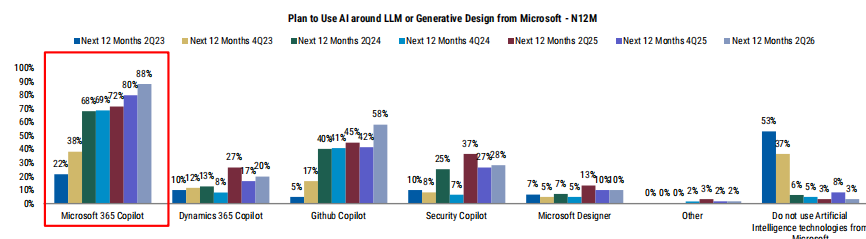
Exhibit 12: The Shift to Higher Subscription Levels Continues with 45% of CIOs Planning to Use E5 in the Next 2 Years, Down Slightly From 50% in 2Q26, Though Offset by 24% of CIOs Planning to Use E7



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

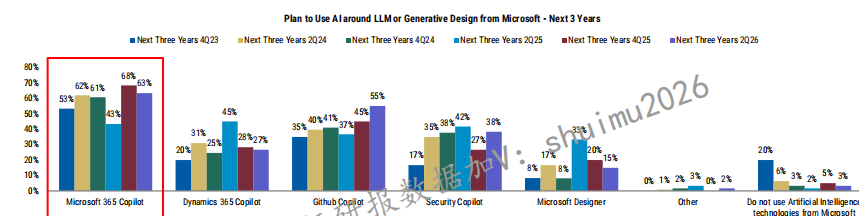
Which of the following products incorporating Generative Artificial Intelligence technology around Large Language Models (e.g. GPT 5) or Generative Design (e.g. Dall-e) do you plan to use from Microsoft in your organization in the next 12 months?

Exhibit 13: 88% of CIOs Expect to Use Microsoft 365 Copilot Over the Next 12 Months, up from 72% and 80% in Our Last Two CIO Surveys...



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

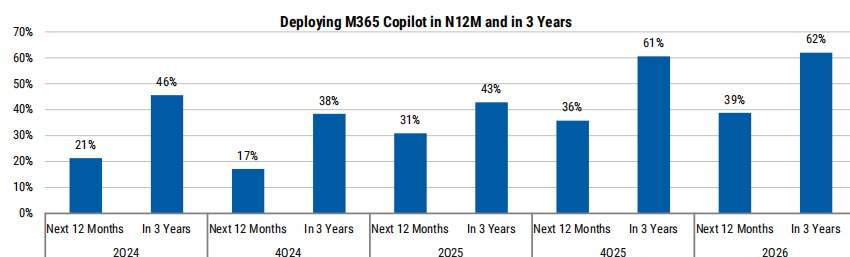
Exhibit 14: ...While M365 Copilot Also Continues to be the Most Sought-After Generative AI Product From Microsoft Over the Next 3 Years



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

If you are planning to use Microsoft 365 Copilot within your organization, what % of your Office user base do you expect to deploy M365 Copilot to over the next 12 months and in 3 years?

Exhibit 15: Microsoft 365 Penetration Expectations Increased From our 4Q25 Survey on Both a Near-Term and Long-Term View



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

3) What is the Capex Trajectory – Does Consensus Capex Need to Move Higher?

MS View: Consensus Capex Estimates Could Continue Moving Higher Toward Our Forecasts

The Capex Debate: Street Estimates Still Have Room to Move Higher. We believe consensus FY27 capex estimates remain conservative relative to Microsoft's long-term AI infrastructure buildout and could move higher (mostly in 2HFY27), though

unlike prior quarters, we are not currently expecting to materially revise our own forecasts following F4Q26 results (see [Exhibit 16](#)). Our model already incorporates a more aggressive multi-year investment cadence than consensus, reflecting management's latest guidance around sustained AI infrastructure investments, continued capacity expansion (mgmt. planning to double total DC footprint over next two years) and a greater mix of short-lived assets. Importantly, on the F3Q26 earnings call, CFO Amy Hood indicated that Microsoft expects ~\$190bn of total capex in CY26, including ~\$25bn of higher component pricing, while reiterating that the company expects to remain capacity constrained through 2026 despite these investments. Further, management noted roughly two-thirds of capex continues to be allocated toward short-lived assets, primarily GPUs and CPUs, reinforcing the direct link between infrastructure investments and future revenue growth. Consistent with this framework, our estimates already imply Microsoft modestly increases quarterly capex sequentially through the F2H27 from ~\$64bn capex estimate for F2Q27. We believe the more likely outcome from here is for Street estimates to move toward our forecasts, rather than our own forecasts moving materially higher post the F4Q26 print.

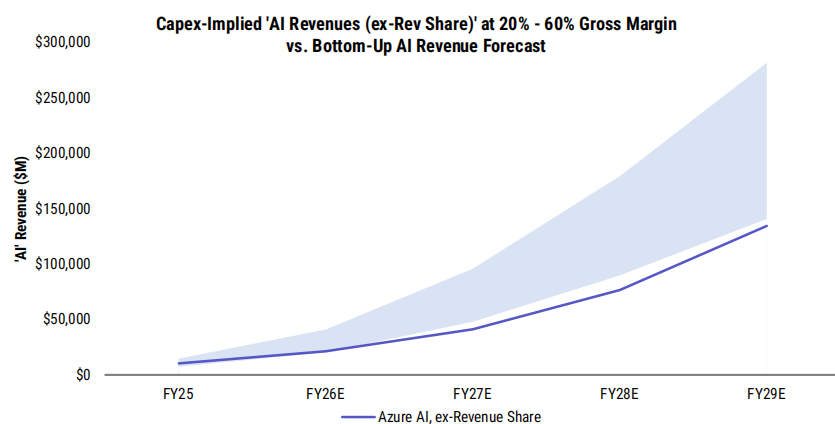
Our Latest Capex-Implied AI Revenue Analysis: Our capex assumptions have consistently been revised higher. Therefore, we lean on our capex driven forecast model to yield our sustained bullish conclusions about the trajectory of Azure growth, which continues to suggest significant upside to our forward Azure forecasts, despite recently raising our Azure revenue estimates with our recent deep dive. Our capex model sizes the implied contribution from Azure AI based on the capital expenditures dedicated to AI-related initiatives. We compare the capex-implied Azure AI forecasts, assuming various gross margin levels, with the Azure AI estimates in our MS model. As highlighted on the most recent earnings call, and reiterated at our recent campus visit, capex (and corresponding infrastructure) is not just allocated for new Azure demand. Microsoft must support its 1st party applications, internal R&D/Research efforts, internal training, and a replacement capex cycle. Management has also been vocal for some time that a significant portion of capex is for longer duration assets like land and buildings, which could generate revenue for >15 years. **Net**, in our latest analysis, Azure AI (excluding revenue share) gross margins could already exceed 20%. We still see material upside to our current Azure estimates based on our Capex-Implied framework, reinforcing **our view that Microsoft's long-term AI monetization opportunity remains underappreciated.**

Exhibit 16: Summary of MS Capex Estimates vs. Consensus (Both Include Finance Leases)

(\$mns)	FY26	FY27	FY28	FY29
Total Capex (Cons)	\$146,485	\$231,973	\$261,454	\$304,555
YoY Growth %	66%	58%	13%	16%
Total Capex (MSe)	\$145,432	\$250,038	\$312,596	\$375,126
YoY Growth %	65%	72%	25%	20%
% Difference	-0.7%	7.8%	19.6%	23.2%

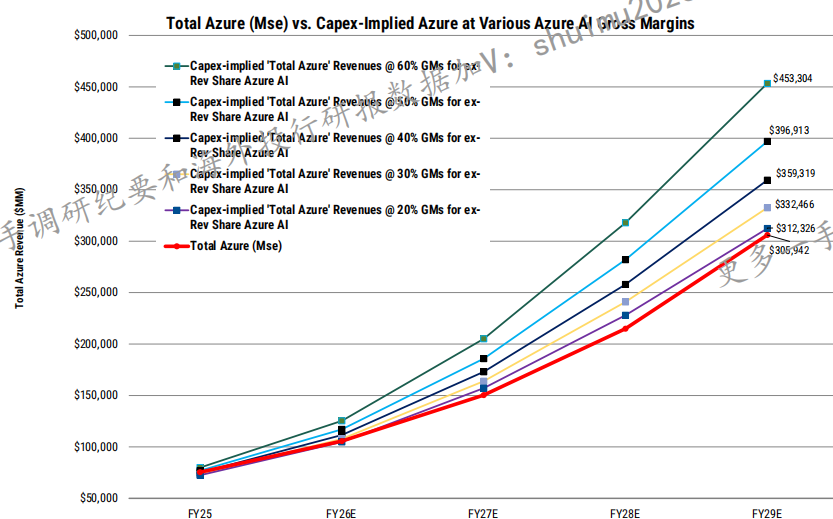
Source: Company data, Morgan Stanley Research, Visible Alpha

Exhibit 17: Capex-Implied Azure AI Revenue Potential is Well Ahead of Our Azure AI Forecast



Source: Company data, Morgan Stanley Research

Exhibit 18: Current Forecast Estimates Azure AI (ex-rev share) Gross Margins Conservatively Approach 20% by FY29; Gross Margins Can Be Materially Higher, Suggesting Meaningful Upside



Source: Company data, Morgan Stanley Research

Exhibit 19: Back of the Envelope Compute Math Suggests Microsoft AI Server Capex Implies ~97.7 Million H100 Equivalents by FY29

(\$ in Millions)	FY25	FY26E	FY27E	FY28E	FY29E
Total Capex	\$88,200	\$145,432	\$250,038	\$312,596	\$375,126
YoY Growth	58%	65%	72%	25%	20%
Cash Capex	\$64,551	\$110,034	\$193,138	\$242,018	\$290,507
YoY Growth	45%	70%	76%	25%	20%
Non-Cloud Capex	\$4,725	\$6,999	\$11,154	\$13,598	\$16,023
YoY Growth	27%	48%	59%	22%	18%
Data Center Cash Capex	\$59,826	\$103,035	\$181,983	\$228,420	\$274,484
YoY Growth	47%	72%	77%	26%	20%
% of Total Capex	93%	94%	94%	94%	94%
PPE Acquired Under Capital Lease	\$23,649	\$35,398	\$56,900	\$70,578	\$84,618
Capital Lease as % of Cash Capex	40%	34%	31%	31%	31%
Total Data Center Capex	\$83,475	\$138,433	\$238,883	\$298,998	\$359,103
YoY Growth	61%	66%	73%	25%	20%
Total Monetizable Data Center Capex	\$72,963	\$124,622	\$220,069	\$274,787	\$331,097
Total Cloud Capex Intensity	34%	48%	69%	69%	66%
Non-AI Cloud Capex Intensity	14%	13%	13%	12%	12%
M365 Copilot Capex Intensity	47%	42%	37%	33%	29%
Azure AI Capex Intensity	396%	412%	426%	287%	196%
Segment-level Capex					
Non-AI Cloud Capex	\$30,796	\$35,227	\$41,196	\$49,393	\$60,036
Internal AI Training Capex (Non-Monetizable)	\$1,000	\$2,000	\$3,000	\$4,000	\$5,000
Internal R&D/Research Capex (Non-Monetizable) 1.5% of Total Data Center Capex	\$1,252	\$2,076	\$3,583	\$4,485	\$5,387
Replacement Capex (55% of 6yr prior Data Center Capex [Servers] + 45% of 15 year Prior [Building])	\$8,260	\$9,535	\$12,231	\$15,726	\$17,619
Microsoft 'AI Capex' (Monetizable)	\$42,167	\$89,595	\$178,873	\$225,395	\$271,060
M365 Copilot Capex	\$1,054	\$1,875	\$3,228	\$4,961	\$6,591
Azure AI Capex	\$41,113	\$87,720	\$175,645	\$220,434	\$264,469

Note: M365 Copilot capex intensity assumes the intensity is maps to the capex intensity of Microsoft Cloud at similar revenue scales (i.e. FY14-19).

Server-Related AI Capex	\$27,920	\$57,795	\$118,612	\$149,763	\$179,440
Chip Version	H/8100	B1/B200	Rubin	Rubin	Rubin Ultra
Cost per Chip (\$)	\$37,500	\$43,750	\$62,500	\$62,500	\$181,250
Impl. Chips Purchased	744,527	1,321,040	1,897,798	2,396,208	990,013
Ratio of Compute to H100s	1.5x	2.5x	11.0x	11.0x	46.0x
Impl. H100 Equivalents Purchased	1,116,790	3,302,599	20,875,773	26,358,291	45,540,583
Cumulative H100 Equivalents	1,601,778	4,904,377	25,760,150	52,138,440	97,679,023

Note: Grossing up cost per chip to account for "fully-loaded" server cost, which assumes 80% of the server cost is attributable to the cost of the chip.

Microsoft Cloud Revenues, ex-Revenue Share	\$21,115	\$261,274	\$317,313	\$395,686	\$501,021
Non-AI Cloud Revenues	\$383,757	\$235,561	\$267,422	\$304,108	\$343,952
Bottom-Up AI Revenues (Copilots + Azure AI, ex-rev share)	\$12,618	\$25,712	\$49,891	\$91,578	\$157,069
M365 Copilot	\$2,227	\$4,431	\$8,648	\$14,886	\$22,476
Azure AI, ex-Revenue Share	\$10,391	\$21,282	\$41,243	\$76,692	\$134,594
Azure AI, Total	\$12,097	\$25,669	\$50,295	\$92,692	\$159,094
Total Azure (Mise)	\$75,428	\$105,605	\$150,299	\$214,928	\$305,942

Monetizable' Azure AI Capex	\$41,113	\$87,720	\$175,645	\$220,434	\$264,469
Incremental Depreciation Waterfall					
FY23	\$22	\$22	\$22	\$22	\$22
FY24	\$1,965	\$1,965	\$1,965	\$1,965	\$1,965
FY25	\$2,460	\$4,920	\$4,920	\$4,920	\$4,920
FY26		\$5,380	\$10,760	\$10,760	\$10,760
FY27			\$11,124	\$22,248	\$22,248
FY28				\$13,961	\$27,922
FY29					\$16,750
Incremental Depreciation	\$4,447	\$12,287	\$28,791	\$53,876	\$84,587

Source: Company data, Morgan Stanley Research

Exhibit 20: More Confidence in Model Conservatism; Material Upside Likely

AZURE AI EX-REV SHARE		FY25	FY26E	FY27E	FY28E	FY29E
Capex-imp'd 'Azure AI ex-Revenue Share' Revenues @ 20% GMs		\$7,412	\$20,479	\$47,986	\$89,794	\$140,978
Capex-imp'd 'Azure AI ex-Revenue Share' Revenues @ 30% GMs		\$8,471	\$23,404	\$54,841	\$102,622	\$161,118
Capex-imp'd 'Azure AI ex-Revenue Share' Revenues @ 40% GMs		\$9,882	\$27,305	\$63,981	\$119,726	\$187,971
Capex-imp'd 'Azure AI ex-Revenue Share' Revenues @ 50% GMs		\$11,859	\$32,766	\$76,777	\$143,671	\$225,565
Capex-imp'd 'Azure AI ex-Revenue Share' Revenues @ 60% GMs		\$14,823	\$40,957	\$95,972	\$179,588	\$281,957
Note: Assumes depreciation constitutes ~75% of COGS while power, labor, etc. constitute the difference.						
Capex-imp'd 'Azure AI ex-Rev Share' Upside @ 20% GMs		-29%	-4%	16%	17%	5%
Capex-imp'd 'Azure AI ex-Rev Share' Upside @ 30% GMs		-18%	10%	33%	34%	20%
Capex-imp'd 'Azure AI ex-Rev Share' Upside @ 40% GMs		-5%	28%	55%	56%	40%
Capex-imp'd 'Azure AI ex-Rev Share' Upside @ 50% GMs		14%	54%	86%	87%	68%
Capex-imp'd 'Azure AI ex-Rev Share' Upside @ 60% GMs		43%	92%	133%	134%	109%

TOTAL AZURE AI (GMS % OF ex-Rev Share)		FY25	FY26E	FY27E	FY28E	FY29E
Capex-imp'd 'Total Azure AI' Revenues @ 20% GMs for ex-Rev Share Azure AI		\$9,117	\$24,865	\$57,037	\$105,794	\$165,478
Capex-imp'd 'Total Azure AI' Revenues @ 30% GMs for ex-Rev Share Azure AI		\$10,176	\$27,791	\$63,892	\$118,622	\$185,618
Capex-imp'd 'Total Azure AI' Revenues @ 40% GMs for ex-Rev Share Azure AI		\$11,588	\$31,692	\$73,032	\$135,726	\$212,471
Capex-imp'd 'Total Azure AI' Revenues @ 50% GMs for ex-Rev Share Azure AI		\$13,564	\$37,152	\$85,829	\$159,671	\$250,065
Capex-imp'd 'Total Azure AI' Revenues @ 60% GMs for ex-Rev Share Azure AI		\$16,529	\$45,344	\$105,023	\$195,588	\$306,457
Note: Assumes depreciation constitutes ~75% of COGS while power, labor, etc. constitute the difference.						
Capex-imp'd 'Total Azure AI' Upside @ 20% GMs		-25%	-3%	13%	14%	4%
Capex-imp'd 'Total Azure AI' Upside @ 30% GMs		-16%	8%	27%	28%	17%
Capex-imp'd 'Total Azure AI' Upside @ 40% GMs		-4%	23%	45%	46%	34%
Capex-imp'd 'Total Azure AI' Upside @ 50% GMs		12%	45%	71%	72%	57%
Capex-imp'd 'Total Azure AI' Upside @ 60% GMs		37%	77%	109%	111%	93%

TOTAL AZURE (GMS % OF ex-Rev Share)		FY25	FY26E	FY27E	FY28E	FY29E
Capex-imp'd 'Total Azure' Revenues @ 20% GMs for ex-Rev Share Azure AI		\$72,448	\$104,801	\$157,042	\$228,030	\$312,326
Capex-imp'd 'Total Azure' Revenues @ 30% GMs for ex-Rev Share Azure AI		\$73,507	\$107,727	\$163,897	\$240,858	\$332,466
Capex-imp'd 'Total Azure' Revenues @ 40% GMs for ex-Rev Share Azure AI		\$74,919	\$111,628	\$173,037	\$257,962	\$359,319
Capex-imp'd 'Total Azure' Revenues @ 50% GMs for ex-Rev Share Azure AI		\$76,895	\$117,089	\$185,833	\$281,907	\$396,913
Capex-imp'd 'Total Azure' Revenues @ 60% GMs for ex-Rev Share Azure AI		\$79,860	\$125,280	\$205,027	\$317,825	\$453,304
Note: Assumes depreciation constitutes ~75% of COGS while power, labor, etc. constitute the difference.						
Capex-imp'd 'Total Azure' Upside @ 20% GMs		-4%	-1%	4%	6%	2%
Capex-imp'd 'Total Azure' Upside @ 30% GMs		-3%	2%	9%	12%	9%
Capex-imp'd 'Total Azure' Upside @ 40% GMs		-1%	6%	15%	20%	17%
Capex-imp'd 'Total Azure' Upside @ 50% GMs		2%	11%	24%	31%	30%
Capex-imp'd 'Total Azure' Upside @ 60% GMs		6%	19%	36%	48%	48%

Source: Company data, Morgan Stanley Research

4) What Should Investors Expect for FY27 Guidance?

Looking back (see [Exhibit 21](#)) to prior F4Qs, Microsoft has selectively given forward looking commentary across revenue growth, operating income growth, opex growth, operating margins, COGs, capex and/or effective tax rate into the forward fiscal year. Additionally, in F3Qs, the street has also received forward FY commentary on many of these categories, with a reiteration of this initial look given on the FQ4 call with potentially a couple incremental categories, consistently including effective tax rate. In F3Q26, management provided a broader high-level framework for FY27 than in the prior year, including commentary around double-digit revenue and operating income growth, mid- to high-single-digit operating expense growth, continued AI infrastructure investment, the expectation for ~\$190bn of CY26 capex (*with a greater mix of short-lived assets*), and Azure growth acceleration into C2H26. With much of that framework now already established, we think it is possible the F4Q26 call focuses more on reiterating those expectations rather than introducing materially new forward-looking guidance. **We do think it is likely we receive initial commentary pointing to FY27 operating margins 'down slightly' or 'down 1%' YoY, though we see a path to margin expansion in FY27 actual results.**

Exhibit 21: What to Expect for FY27 Guidance

Quarter Guidance Given	Guidance Regarding FY...	Topic	Commentary
4FQ26	FY27	?	?
3FQ26	CY26	Capex	Expect capex of ~\$190 billion, including roughly \$25 billion from higher component pricing
3FQ26	CY26	Azure	Azure revenue growth expected to show some modest acceleration in the second half of the year compared with half one
3FQ26	FY27	Revenue	Expect revenue to grow double-digits
3FQ26	FY27	Opex	Expect Operating expenses to grow in mid-to-high-single digits
3FQ26	FY27	Operating Income	Expect operating income to grow double-digits
4FQ25	FY26	Revenue	Expect revenue to grow double-digits
4FQ25	FY26	Capex	Expect FY26 capex growth to moderate compared to FY25 with a greater mix of short-lived assets
4FQ25	FY26	Operating Income	Operating income expected to grow double-digits Operating margins expected to be relatively unchanged YoY
3FQ25	FY26	Capex	We expect CapEx to grow. It will grow at a lower rate than FY 2025 and will include a greater mix of short-lived assets, which are more directly correlated to revenue than long-lived assets
4FQ24	FY25	Revenue	We continue to expect double-digit revenue and operating income growth, as we focus on delivering differentiated value for our customers
4FQ24	FY25	Operating Income	We continue to expect double-digit revenue and operating income growth, as we focus on delivering differentiated value for our customers
4FQ24	FY25	Capex	To meet the growing demand signal for our AI and cloud products, we will scale our infrastructure investments with FY 2025 capital expenditures expected to be higher than FY 2024
4FQ24	FY25	COGS	scaling these investments drives growth in COGS
4FQ24	FY25	Opex	we will remain disciplined on operating expense management. Therefore, we expect FY 2025 OpEx growth to be in the single digits
4FQ24	FY25	Operating Margins	we still expect FY 2025 operating margins to be down only about 1 point year-over-year
4FQ24	FY25	Effective Tax Rate	~19%
3FQ24	FY25	Revenue	Focus and execution should again lead to double-digit revenue and operating income growth
3FQ24	FY25	Operating Income	Focus and execution should again lead to double-digit revenue and operating income growth
3FQ24	FY25	Operating Margins	We will also continue to prioritize operating leverage and therefore, we expect FY 2025 operating margins to be down only about one point year-over-year, even with our significant cloud and AI investments as well as a full year of impact from the Activision acquisition
3FQ24	FY25	Capex	We expect FY 2025 capital expenditures to be higher than FY 2024
4FQ23	FY24	Revenue	Even with strong demand and a leadership position, growth from our AI services will be gradual as Azure AI scales and our Copilots reach general availability dates. So for FY 2024, the impact will be weighted towards H2.
4FQ23	FY24	Capex	To support our Microsoft Cloud growth and demand for our AI platform, we will accelerate investment in our cloud infrastructure. We expect capital expenditures to increase sequentially each quarter through the year as we scale to meet demand signals
4FQ23	FY24	COGS	Increased capital spend will drive higher COGS growth in FY 2023
4FQ23	FY24	Opex	FY 2024 operating expense growth will remain low
4FQ23	FY24	Operating Margins	Full year operating margins to remain flat year-over-year even with the headwind from the change in accounting estimate
4FQ23	FY24	Effective Tax Rate	~19%
3FQ23	FY24	Capex	We will continue to invest in our cloud infrastructure, particularly AI-related spend, as we scale with the growing demand driven by customer transformation
3FQ23	FY24	COGS	the scaled CapEx investments will impact COGS growth
3FQ23	FY24	Opex	we expect FY 2024 operating expense growth to remain low
4FQ22	FY23	Revenue	We continue to expect double-digit revenue and operating income growth in both constant currency and US dollars
4FQ22	FY23	Operating Income	We continue to expect double-digit revenue and operating income growth in both constant currency and US dollars
4FQ22	FY23	Opex	Operating expense growth will be significant early in FY 2023 and will moderate materially over the course of the year as we slow the rate of hiring to focus on key growth areas, increase the productivity of prior year head count investments, and anniversary the Nuance and Xandr acquisitions
4FQ22	FY23	Operating Margins	even with the significant level of investment in our future, we expect operating margins based on constant currency to be approximately flat year-over-year in FY 2023, excluding the benefit from the latest change in useful life
4FQ22	FY23	Effective Tax Rate	we expect our FY 2023 effective tax rate to be roughly 19%
3FQ22	FY23	Revenue	our track record of delivering high value to our customers across many diverse and durable growth markets gives us confidence that we will drive continued healthy double-digit revenue and operating income growth
3FQ22	FY23	Operating Income	our track record of delivering high value to our customers across many diverse and durable growth markets gives us confidence that we will drive continued healthy double-digit revenue and operating income growth

Source: Company Transcripts, Morgan Stanley Research

Exhibit 22: Morgan Stanley Forecasts Relatively In-line with Consensus in 4Q26 / FY26

Fiscal Year	4Q26e			1Q27e			FY26e			FY27e		
MSFT	MS	Consensus	MS v Cons	MS	Consensus	MS v Cons	MS	Consensus	MS v Cons	MS	Consensus	MS v Cons
Total Revenue	\$87,701	\$87,697	0.0%	\$90,549	\$89,977	0.6%	\$329,533	\$329,511	0.0%	\$389,310	\$384,896	1.1%
YoY Growth	14.7%	14.7%		16.6%	15.8%		17.0%	17.0%		18.1%	16.8%	
cc Growth	14.7%	14.6%		16.6%	16.0%		17.0%	15.4%		18.1%	17.3%	
Gross Margins	66.3%	66.6%	-28 bps	66.2%	67.0%	-75 bps	67.7%	67.8%	-11 bps	65.7%	66.6%	-89 bps
Gross Profit	\$58,159	\$58,398		\$59,970	\$60,263		\$223,142	\$223,502		\$255,792	\$256,334	
Opex (implied)	\$19,368	\$19,381		\$16,455	\$17,344		\$69,717	\$69,730		\$74,604	\$74,499	
Operating Income	\$38,792	\$38,980	-0.5%	\$43,514	\$42,806	1.7%	\$153,426	\$153,632	-0.1%	\$181,188	\$179,130	1.1%
Op. Margin	44.2%	44.4%	-22 bps	48.1%	47.6%	48 bps	46.6%	46.6%	-7 bps	46.5%	46.5%	00 bps
cc Implied OM %	43.0%	43.2%	-16 bps	47.7%	47.1%	59 bps	38.3%	37.6%	76 bps			
GAAP EPS	\$4.21	\$4.26	-1.3%	\$4.71	\$4.65	1.2%	\$17.35	\$16.93	2.5%	\$19.62	\$19.49	0.7%

Source: Company data, Morgan Stanley Research, Refinitiv, Visible Alpha

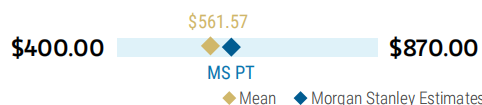
Risk Reward – Microsoft (MSFT.O)

Durability of Earnings Growth & AI Leadership Not Priced-In

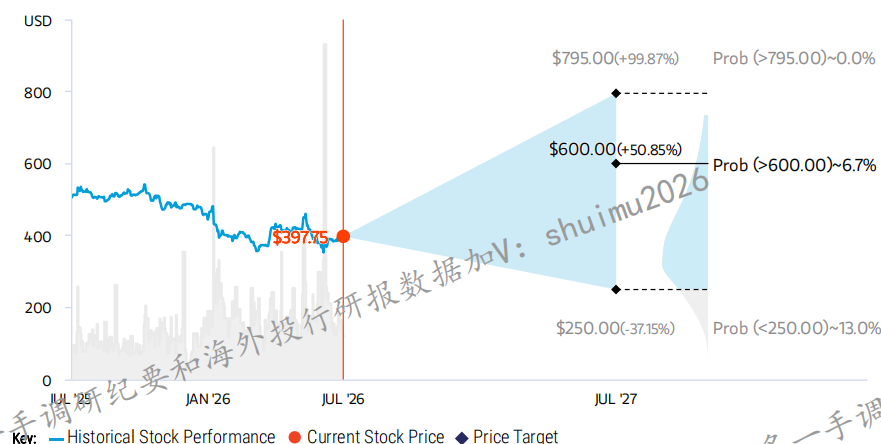
PRICE TARGET \$600.00

25x Base Case FY28e EPS of \$23.86. 25x PE is a slight premium to large cap software peers, 1.2x PEG is a discount to MSFT historical PEG and large-cap software peers.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

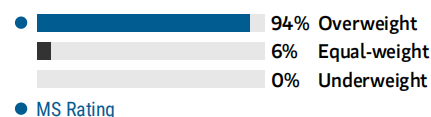


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Greater than expected capacity-driven Azure growth inflection and Copilot monetization supports high-teens rev growth.
- Meaningful gross margin % headwinds are offset by operating leverage, yielding 20%+ EBIT growth and >20% EPS growth
- Shares trading at <16x FY28 GAAP EPS too cheap. Overweight

Consensus Rating Distribution



Risk Reward Themes

New Data Era: Positive
Pricing Power: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$795.00

~29x Bull Case FY28e EPS: \$27.39

Azure, O365 & Robust Contribution from AI Drive Top-Line Growth. Acceleration in Azure growth, adoption of higher priced M365 Commercial SKUs and continued seat growth, and robust adoption of Azure AI services and Microsoft AI Copilots across business lines drive low-20s revenue CAGR in the coming years. Operating margins expand to ~48.9% by FY28 and FY28e EPS is \$27.39. ~29x PE represents a premium to large cap software peers, but below MSFT historical avg PEG at ~1.2x given >20% EPS CAGR.

BASE CASE

\$600.00

~25x Base Case FY28e EPS of \$23.86

Azure, M365 & Ramping Contribution from AI Drive Top-Line Growth. Durability of Azure growth, adoption of higher priced M365 Commercial SKUs and continued seat growth, and ramping adoption of Azure AI services & Microsoft AI Copilots across business lines drive high-teens rev CAGR ahead. Operating margins expand beyond ~46.7% by FY28 and FY28e EPS is \$23.86. 25x PE is a premium to large cap software peers, given strong positioning and execution. 1.2x PEG is a discount to MSFT historical PEG.

BEAR CASE

\$250.00

~12x Bear Case FY28e EPS: \$21.64

Macro, Scale & Limited AI Adoption Drives Top-Line Growth Deceleration. Azure growth continues deceleration given scale, while M365 reaches penetration and adoption of Azure AI services & Microsoft AI Copilots across business lines remains limited. This drives mid-teens rev CAGR. Operating margins only expand to ~44.9% by FY28 from gross margin pressure and FY28 EPS is \$21.64. ~12x PE is a discount to large cap software peers and a discount on a PEG.

Risk Reward – Microsoft (MSFT.O)

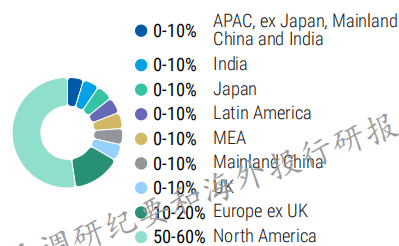
KEY EARNINGS INPUTS

Drivers	Jun 2025	Jun 2026e	Jun 2027e	Jun 2028e
Azure and Other Cloud Services Growth (%)	34.4	40.0	42.3	43.0
M365 Commercial Cloud Growth (%)	15.3	16.5	14.6	15.9
Gross Margins (%)	68.8	67.7	65.7	64.4
Operating Margins (%)	45.6	46.6	46.5	46.7
GAAP EPS Growth (%)	15.6	27.2	13.1	21.6

INVESTMENT DRIVERS

- Sustainability of commercial cloud growth, Copilot growth
- Improving Azure growth, cloud momentum, improving cloud margins

GLOBAL REVENUE EXPOSURE



MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Cloud adoption accelerates, with Azure as convincing winner
- AI leadership results in substantial revenue contribution over-time
- Operational efficiencies leading to greater than anticipated economies of scale and margin expansion

RISKS TO DOWNSIDE

- Weak macro impacting IT spending
- On-premises cannibalization by Cloud
- Increased investments hurt margin expansion
- AI adoption proves limited

OWNERSHIP POSITIONING

Inst. Owners, % Active	52.5%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	29.5%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2026e

Sales / Revenue (\$, mm)	327,677	329,533 329,420	333,071
---------------------------------	---------	--------------------	---------

EBITDA (\$, mm)	184,508	196,643 197,707	207,790
------------------------	---------	--------------------	---------

Net income (\$, mm)	124,463	125,864 129,237	130,613
----------------------------	---------	--------------------	---------

EPS (\$)	16.70	16.80 17.35	17.36
-----------------	-------	----------------	-------

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

更多一手调研纪要和海外投行研报数据加V: shuimu2026

更多一手调研纪要和海外投行研报数据加V: shuimu2026

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Josh Baer, CFA; Adam Wood.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflict/policies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

A member of the Telecom & Networking Equipment team has accepted a role with a company covered in Morgan Stanley Research: Josh Baer, CFA - DigitalOcean Holdings Inc.

The analyst or strategist (or a household member) identified below owns the following securities (or related derivatives): Jonathan Eisensohn - Adobe Inc.(common or preferred stock), Sprout Social Inc.(common or preferred stock).

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, Datadog, Inc., Descartes Systems Group Inc, DocuSign Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, Klaviyo, Inc, LegalZoom.com Inc, Lightspeed Commerce Inc, Liveramp Holdings Inc, Manhattan Associates Inc, **Microsoft**, monday.com Ltd, MongoDB Inc, Nebius Group NV, NICE Ltd., Okta, Inc., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, Sabre Corp, SailPoint Inc, Salesforce, Inc., Samsara Inc, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Vertex Inc., Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, ZoomInfo Technologies Inc.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Akamai Technologies, Inc., Check Point Software Technologies Ltd., CoreWeave, DigitalOcean Holdings Inc, Figma Inc, Intuit, Navan Inc, Nebius Group NV, Netskope, Inc., Salesforce, Inc., ServiceNow Inc, Via Transportation Inc, Wix.Com Ltd.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Akamai Technologies, Inc., Autodesk, Blackline Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., CoreWeave, DigitalOcean Holdings Inc, Figma Inc, HubSpot, Inc., Intuit, **Microsoft**, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., RingCentral Inc, Salesforce, Inc., ServiceNow Inc, Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd, Cloudflare Inc, Commerce.com Inc., CoreWeave, Coursera, Inc., CrowdStrike Holdings Inc, Datadog, Inc., Descartes Systems Group Inc, DigitalOcean Holdings Inc, Docebo Inc., DocuSign Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, LegalZoom.com Inc, Lightspeed Commerce Inc, Liveramp Holdings Inc, **Microsoft**, monday.com Ltd, MongoDB Inc, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., Okta, Inc., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, Sabre Corp, SailPoint Inc, Salesforce, Inc., Samsara Inc, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Asana Inc, Atlassian Corporation PLC, Autodesk, Blackline Inc, Box Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, DigitalOcean Holdings Inc, Docebo Inc., DocuSign Inc, Dynatrace Inc, Figma Inc, Five9 Inc, Freshworks Inc, Gen Digital Inc., GitLab Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, LegalZoom.com Inc, **Microsoft**, monday.com Ltd, MongoDB Inc, NICE Ltd., Oracle Corporation, Palantir Technologies Inc., Palo Alto Networks Inc, RingCentral Inc, Sabre Corp, SailPoint Inc, Salesforce, Inc., SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Snowflake Inc., Tenable Holdings Inc, Toast, Inc., UiPath Inc, Varonis Systems, Inc., Workday Inc, Zeta Global Holdings Corp, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, Commerce.com Inc., CoreWeave, Coursera, Inc., CrowdStrike Holdings Inc, Datadog, Inc., Descartes Systems Group Inc, DigitalOcean Holdings Inc, Docebo Inc., DocuSign Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, LegalZoom.com Inc, Lightspeed Commerce Inc, Liveramp Holdings Inc, **Microsoft**, monday.com Ltd, MongoDB Inc, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., Okta, Inc., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, Sabre Corp, SailPoint Inc, Salesforce, Inc., Samsara Inc, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Asana Inc, Atlassian Corporation PLC, Autodesk, Blackline Inc, Box Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, Commerce.com Inc., CoreWeave, CrowdStrike Holdings Inc, Datadog, Inc., DigitalOcean Holdings Inc, Docebo Inc., DocuSign Inc, Dynatrace Inc, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, LegalZoom.com

Inc, **Microsoft**, monday.com Ltd, MongoDB Inc, Nebius Group NV, NICE Ltd., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, RingCentral Inc, Sabre Corp, SailPoint Inc, Salesforce, Inc., SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, Zscaler Inc.

An employee, director or consultant of Morgan Stanley is a director of Elastic NV, Tenable Holdings Inc. This person is not a research analyst or a member of a research analyst's household. Morgan Stanley & Co. LLC makes a market in the securities of Amplitude Inc., Appian Corp, Asana Inc, Autodesk, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Elastic NV, Five9 Inc, LegalZoom.com Inc, Liveramp Holdings Inc, Manhattan Associates Inc., PagerDuty, Inc., Qualys Inc, Rapid7 Inc, RingCentral Inc, Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Twilio Inc, Varonis Systems, Inc., Vertex Inc., ZoomInfo Technologies Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)		% of Rating Category	Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC		Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

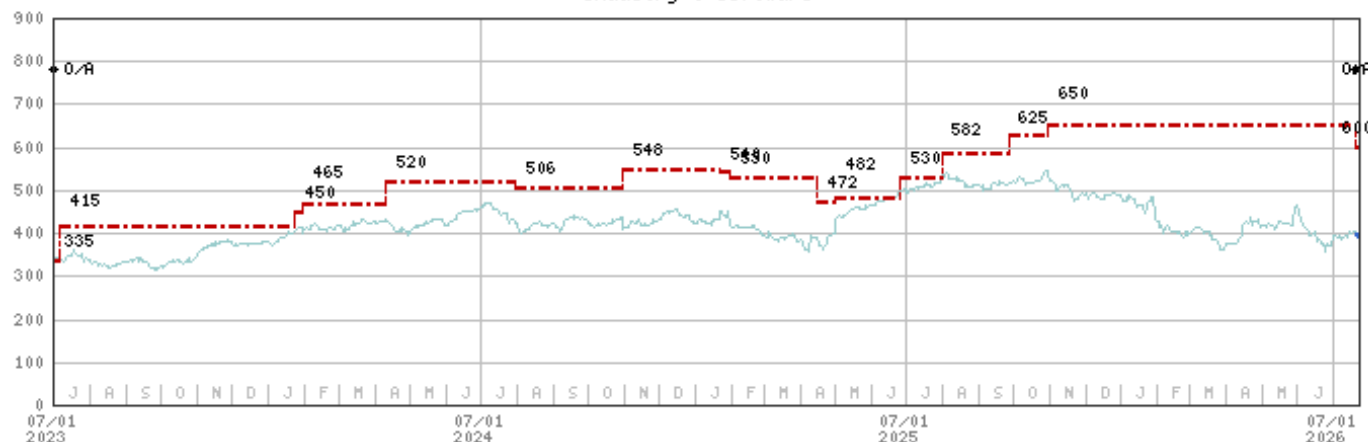
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia -

relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Microsoft (MSFT.O) - As of 07/23/26 GMT in USD
Industry : Software



Stock Rating History: 7/1/21 : O/A; 7/21/26 : O/A

Price Target History: 4/28/21 : 300; 7/28/21 : 305; 9/14/21 : 331; 10/27/21 : 364; 1/26/22 : 372; 7/12/22 : 354; 10/14/22 : 325; 10/26/22 : 307; 4/26/23 : 335; 7/6/23 : 415; 1/23/24 : 450; 1/31/24 : 465; 4/11/24 : 520; 7/31/24 : 506; 10/31/24 : 548; 1/22/25 : 540; 1/30/25 : 530; 4/15/25 : 472; 5/1/25 : 482; 6/26/25 : 530; 7/31/25 : 582; 9/26/25 : 625; 10/30/25 : 650; 7/21/26 : 600

Source: Morgan Stanley Research

Date Format: MM/DD/YY

Price Target: --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ★ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2024, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2024, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Atlassian Corporation PLC, Microsoft, Workday Inc. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley

processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company or associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 23374-2, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altium, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are

high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Adam Wood		
Adobe Inc. (ADBE.O)	U (07/21/2026)	\$218.36
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$85.40
Intuit (INTU.O)	E (07/21/2026)	\$284.47
Microsoft (MSFT.O)	O (07/21/2026)	\$390.34
Salesforce, Inc. (CRM.N)	E (07/21/2026)	\$163.00
Samsara Inc (IOT.N)	E (03/23/2023)	\$33.33
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$95.46
Shopify Inc (SHOP.O)	O (04/19/2024)	\$118.42
Workday Inc (WDAY.O)	U (07/21/2026)	\$132.42
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$41.89
Blackline Inc (BL.O)	E (07/21/2026)	\$27.87
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$68.10
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$149.11
Navan Inc (NAVN.O)	O (11/24/2025)	\$23.54
SPS Commerce Inc (SPSC.O)	U (07/21/2026)	\$60.12
Vertex Inc. (VERX.O)	E (07/21/2026)	\$11.05
Elizabeth Porter, CFA		
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$8.74
Autodesk (ADSK.O)	O (08/23/2024)	\$203.50
Figma Inc (FIG.N)	E (08/25/2025)	\$21.47
Five9 Inc (FIVN.O)	E (10/10/2022)	\$22.95
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$10.06
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$89.40

HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$204.90
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$16.20
LegalZoom.com Inc (LZ.O)	U (07/28/2022)	\$7.08
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$37.66
NICE Ltd. (NICE.O)	E (07/21/2026)	\$88.52
RingCentral Inc (RNG.N)	E (08/08/2023)	\$37.66
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$5.56
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$7.61
Twilio Inc (TWLO.N)	O (02/24/2025)	\$183.38
Wix.Com Ltd (WIX.O)	E (07/21/2026)	\$48.66
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$20.18
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$2.92

Josh Baer, CFA

Asana Inc (ASAN.N)	U (05/20/2025)	\$6.88
Box Inc (BOX.N)	E (05/21/2024)	\$28.45
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$5.73
Commerce.com Inc. (CMRC.O)	++	\$2.72
CoreWeave (CRWV.O)	E (04/22/2025)	\$82.64
Coursera, Inc. (COUR.N)	E (04/22/2026)	\$5.34
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$142.68
Docebo Inc. (DCBO.O)	E (05/12/2025)	\$19.54
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$47.89
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	\$9.76
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$73.91
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$218.16
Sabre Corp (SABR.O)	E (03/16/2021)	\$1.66
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$69.90
Toast, Inc. (TOST.N)	O (12/16/2021)	\$29.21
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$17.50
Zoom Communications (ZM.O)	E (10/11/2022)	\$85.81

Meta A Marshall

Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$127.91
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$188.42
Fortinet Inc. (FTNT.O)	E (07/21/2026)	\$155.05
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$25.58
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$11.96
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$136.69
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$335.28
Qualys Inc (QLYS.O)	U (02/09/2021)	\$140.23
Rapid7 Inc (RPD.O)	U (07/21/2026)	\$9.91
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$14.78
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$18.22
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$32.83
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$45.33
Zscaler Inc (ZS.O)	E (04/22/2026)	\$142.26

Sanjit K Singh

Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$124.30
Appian Corp (APPN.O)	E (04/30/2026)	\$22.64
C3.ai (AI.N)	U (01/04/2021)	\$8.19
Cloudflare Inc (NET.N)	O (12/02/2024)	\$268.98
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$245.77
Dynatrace Inc (DT.N)	E (02/13/2024)	\$41.36
Elastic NV (ESTC.N)	E (07/21/2026)	\$58.68
GitLab Inc (GTLB.O)	E (01/12/2026)	\$31.35
JPfrog Ltd. (FROG.O)	E (07/21/2026)	\$79.68

MongoDB Inc (MDB.O)	O (04/12/2023)	\$304.97
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$125.84
PagerDuty, Inc. (PD.N)	U (07/21/2026)	\$8.82
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$124.57
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$267.80
UiPath Inc (PATH.N)	E (09/07/2022)	\$10.70

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

© 2026 Morgan Stanley

更多一手调研纪要和海外投行研报数据加V: shuimu2026